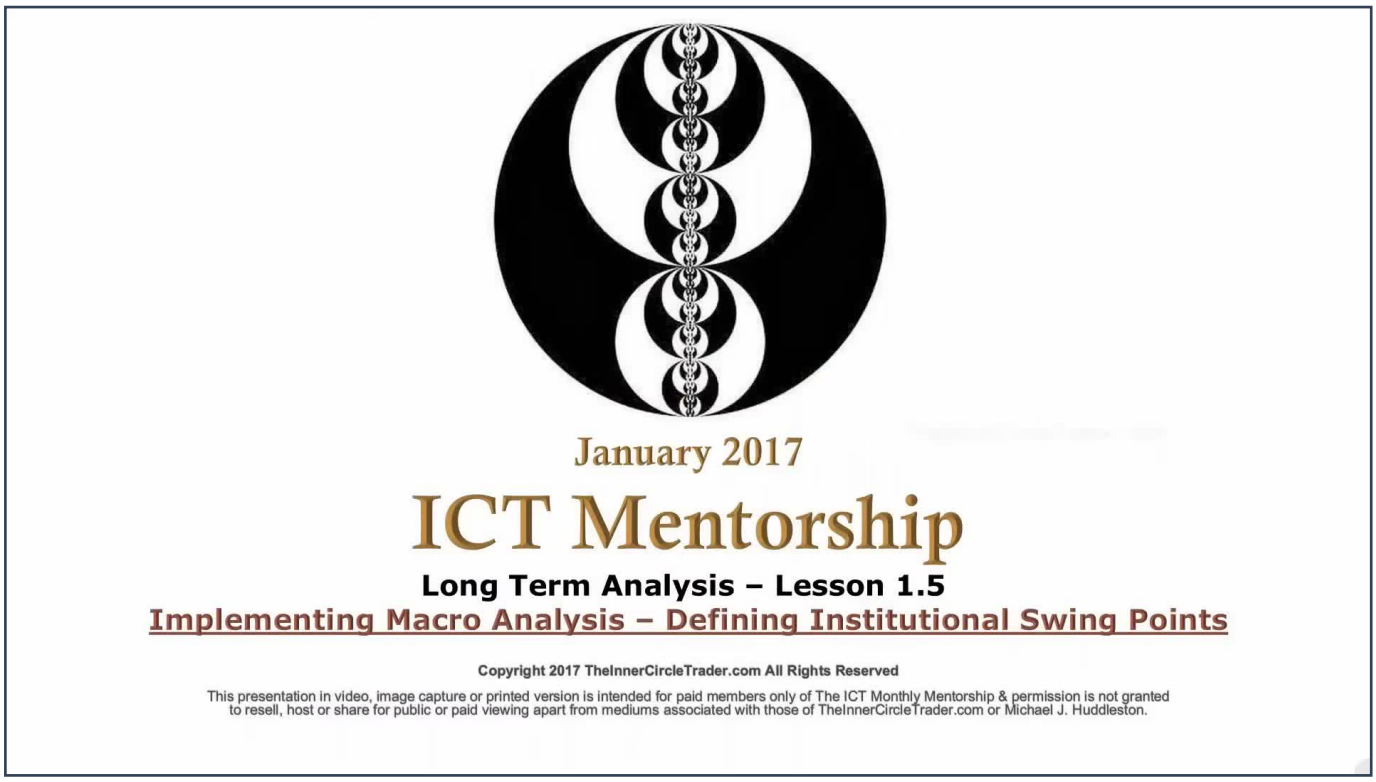
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - DEFINING INSTITUTIONAL SWING POINTS



Welcome to Lesson 1.5: Defining Institutional Swing Points. Previously, the concept of a swing high and swing low was introduced, defined by a simple three-candle or three-bar pattern:

- Swing High: A high with a lower high to its left and a lower high to its right.
- Swing Low: A low with a higher candle to its left and a higher candle to its right.

This simple pattern was learned from ICT's mentor, Larry Williams. Many elaborate patterns encountered during ICT's development as a trader often proved to be misleading, failing to deliver on future prognostication.

Here, the focus shifts from these conventional swing points to 'Institutional Swing Points', emphasizing the conceptual understanding of what transpires behind the scenes in the market. The goal is not to immediately look at charts or examples, but to grasp the underlying concepts upon which future ideas will be built.

TWO FORMS OF INSTITUTIONAL SWING POINTS

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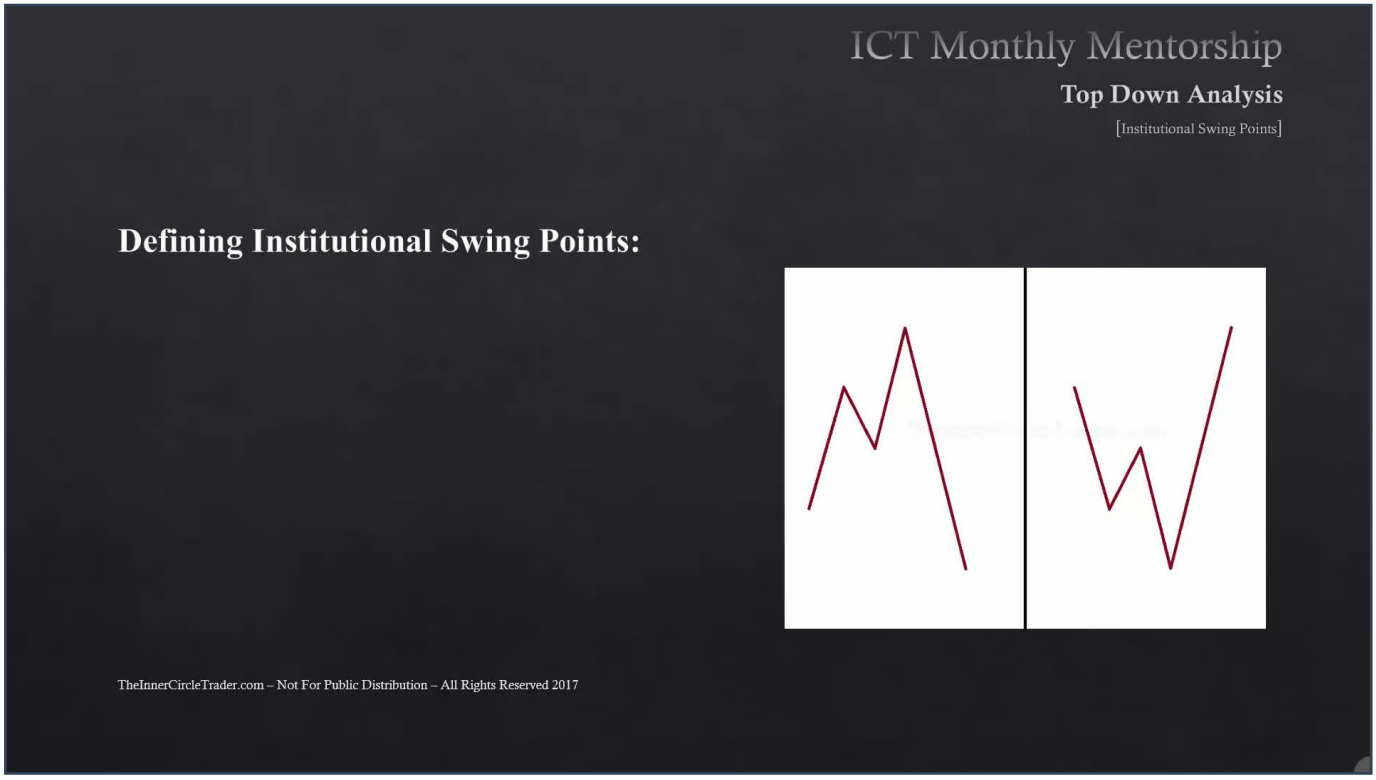
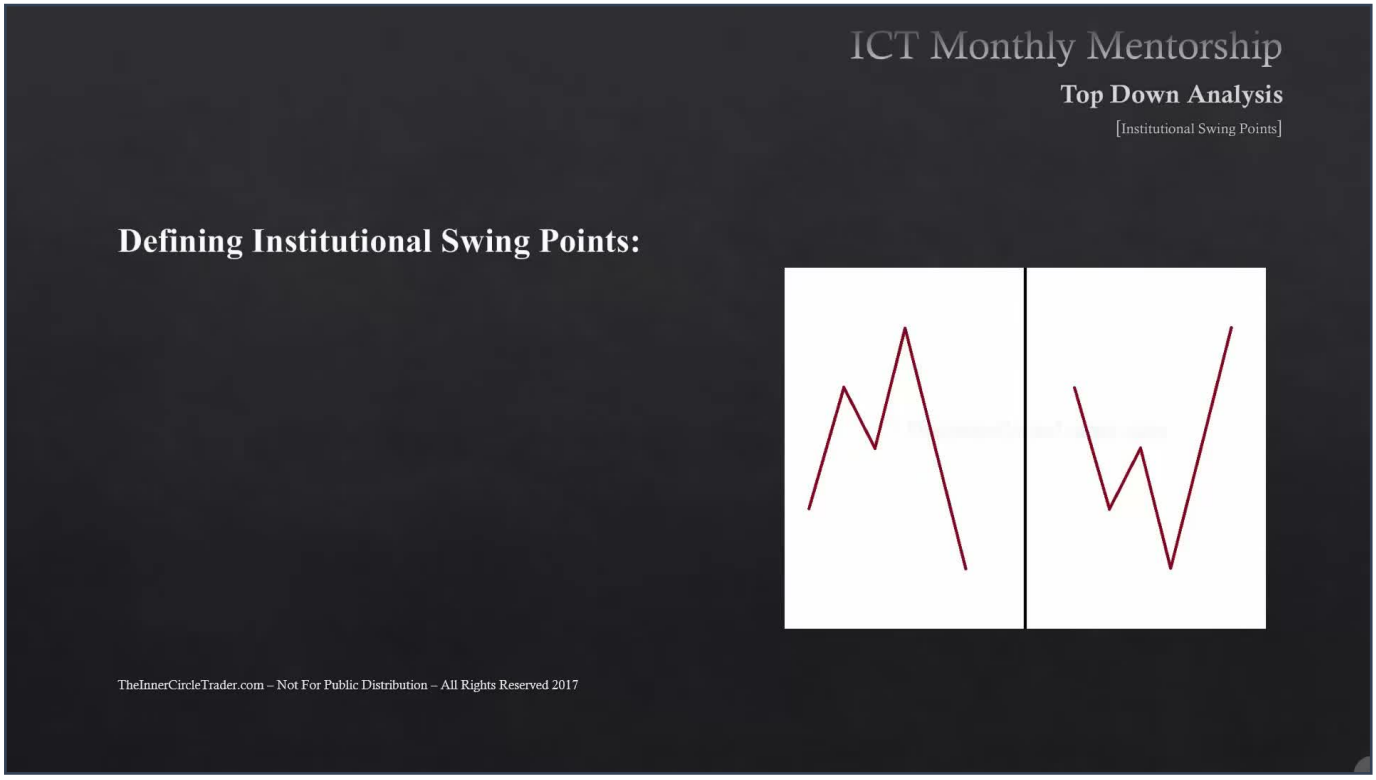


There are fundamentally only two forms of swing points in the marketplace as they relate to institutional trading:

- A Stop Run (which manifests as a Breaker)
- A Failure Swing

These two forms encompass all institutional swing points. The discussion will delve into their contrasting differences and how they present opportunities for traders by understanding their unique characteristics.

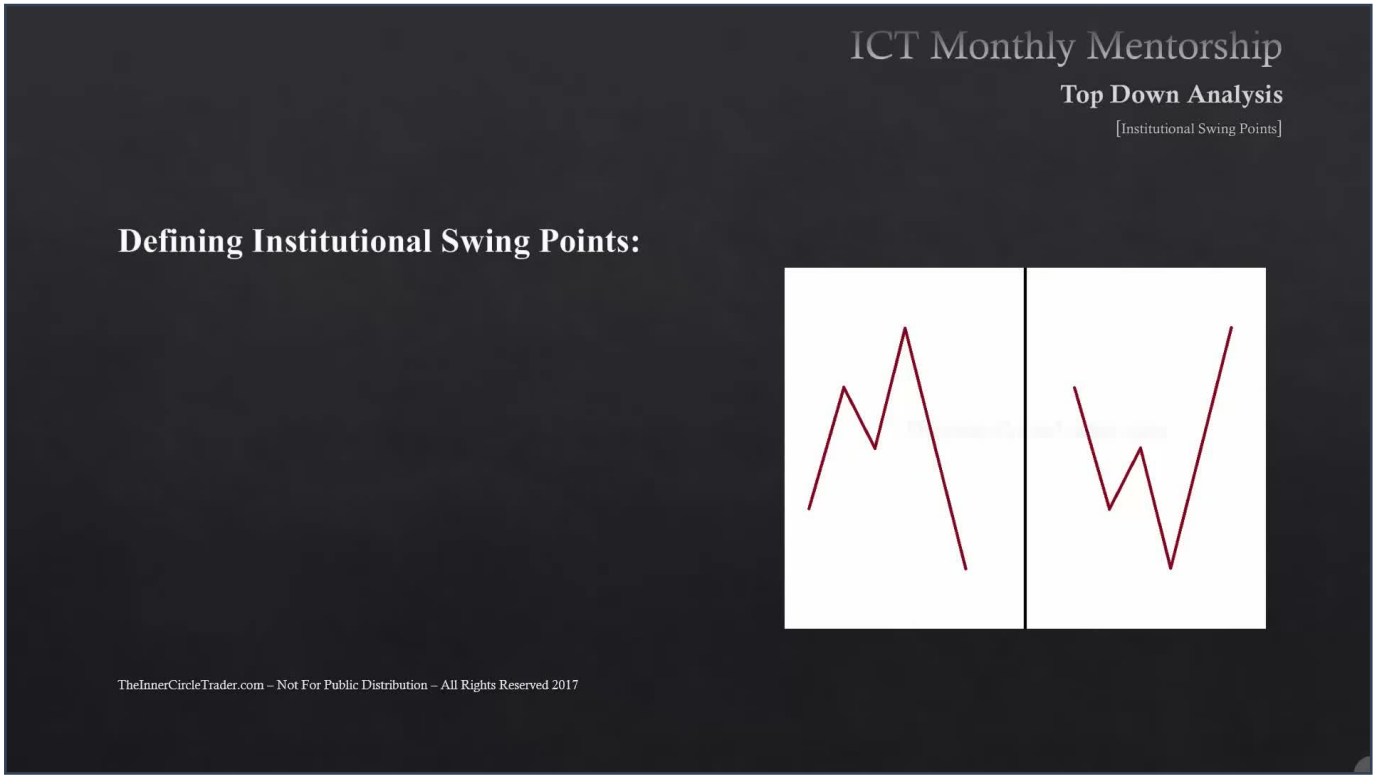
The first institutional swing point to be examined is the Breaker.



The Breaker pattern typically involves the market making a higher high, then failing, breaking down, and experiencing a rejection at the highs.

This pattern can be particularly surprising and deflating for traders. Everyone has likely experienced buying at a price point, expecting it to go higher, seeing an initial move, making a new higher high, only for price to aggressively break lower. Conversely, selling a low, feeling good as it breaks lower, only for it to move slightly below a previous low and then explode upwards, trapping or stopping out the trader.

This pattern is considered the most powerful, dynamic, and significant price pattern conceptually to learn.

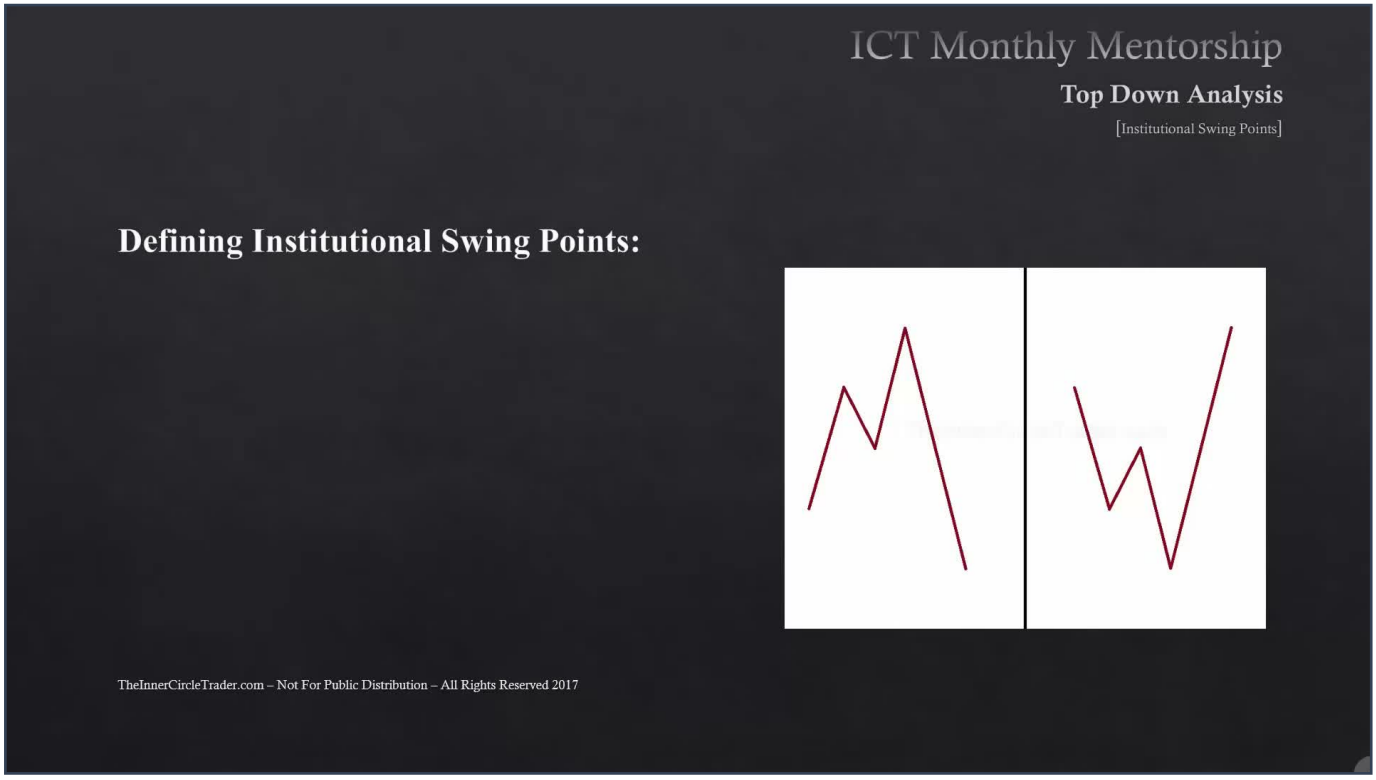


For a selling scenario, the market generally rallies up to an area of old resistance. This resistance can be:

- A Bearish Order Block
- A Breaker or Mitigation Block
- An Old Low (which price returns to)
- An Old High (which price returns to)

Initially, price might fall short of this resistance level by a few pips or points and start trading lower. Retail traders, and ICT in his early days, might interpret this as an imminent aggressive breakdown, expecting lower prices. However, the market then makes one more pass higher, driving out that short-term high, spooking and upsetting already short traders. It ultimately reaches the level that was initially expected (e.g., a resistance level, a bearish order block, or a gap closure).

When price hovers just below a key institutional reference point (such as bearish order blocks, bullish order blocks, liquidity voids, or fair value gaps – concepts from September mentorship), ICT anticipates price trading precisely to or slightly into these levels, as would be the case for an order block.

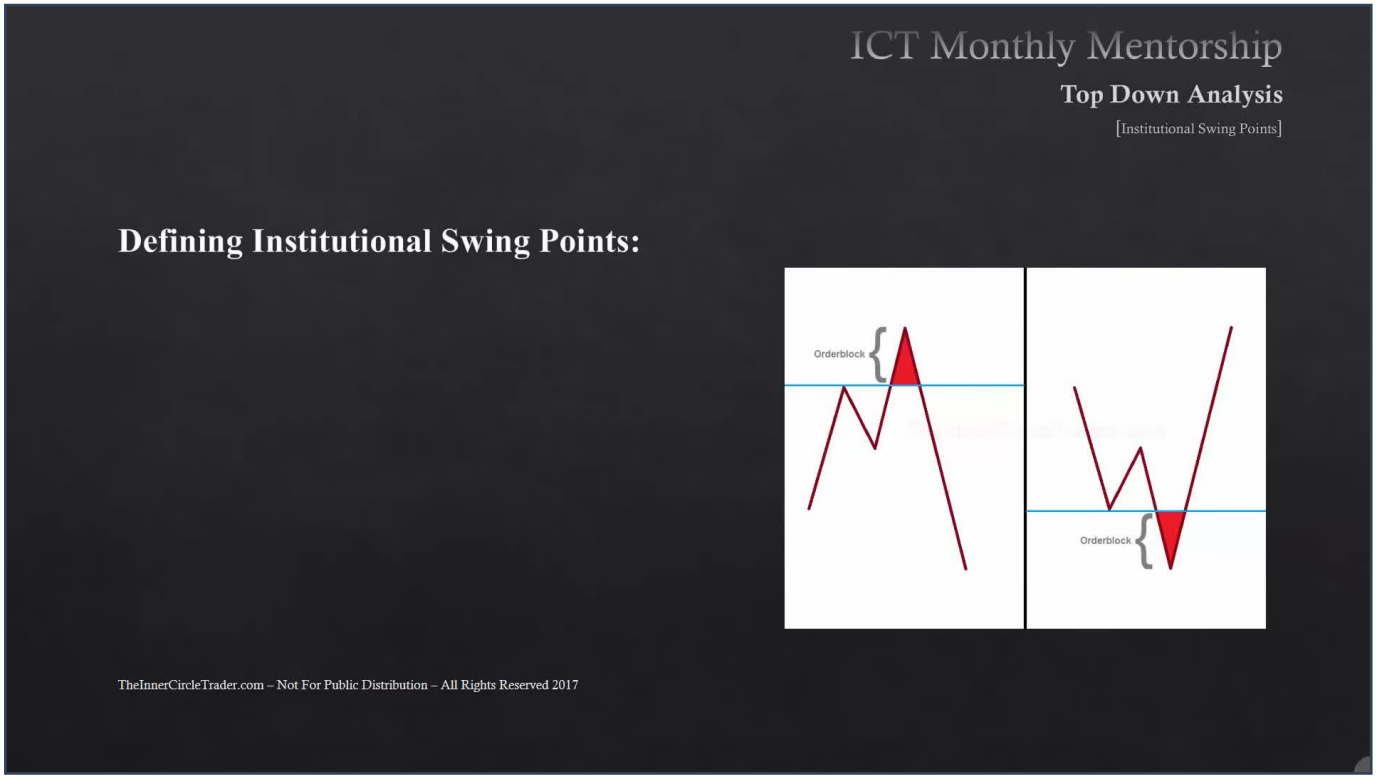


The blue lines in diagrams delineate these institutional levels. For a selling opportunity (diagram on the left), representing resistance:

- A short-term high forms.
- Price then makes a higher high.

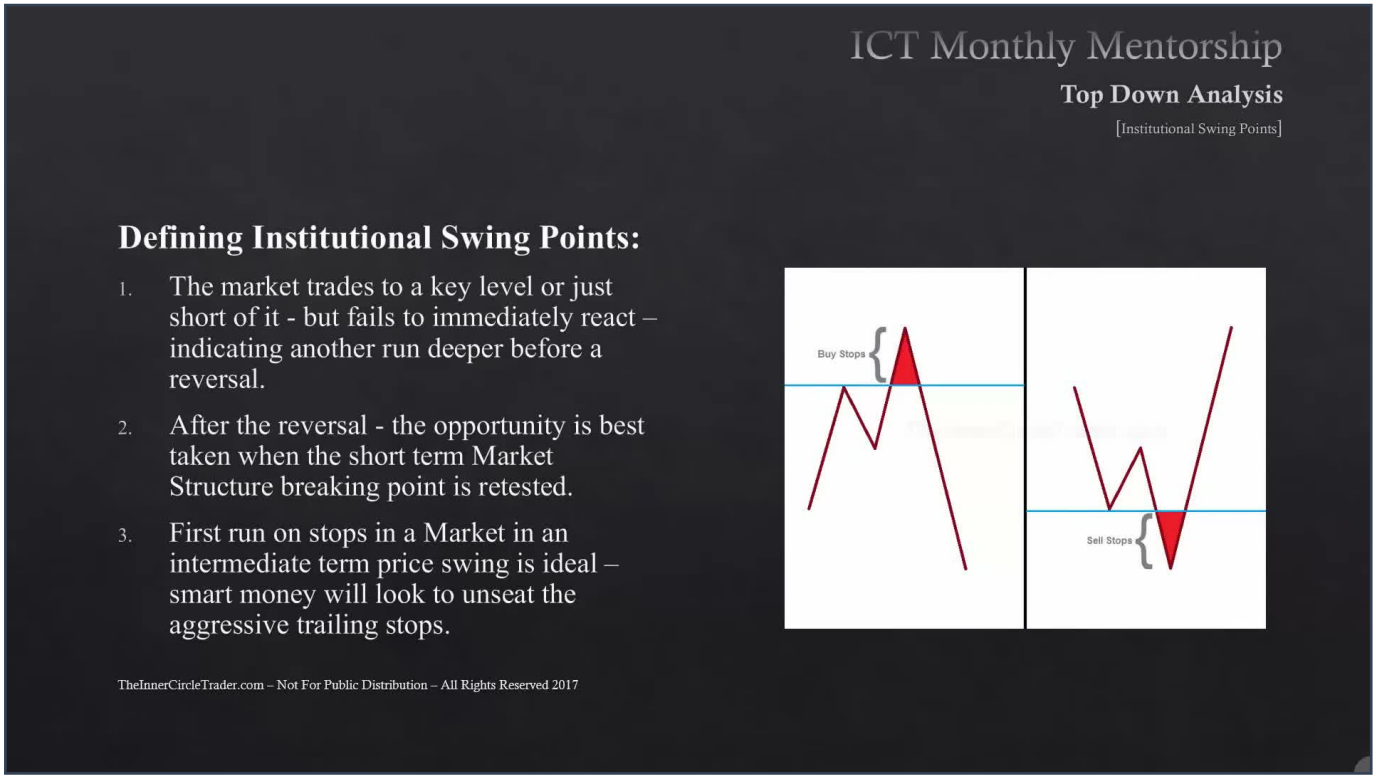
This higher high is what traps many traders. Often, a bearish order block might lie just above that initial short-term high, which price initially fails to reach or leaves a small fair value gap below. Price then eventually drives up to close that range, creating the Breaker swing point.

It's called a Breaker because it creates a short-term low between the previous high and the new higher high. When the market breaks down and takes out this short-term low (prior to the new high), it signals a market structure shift. This indicates that the market has 'broke' those individuals who were initially short, and they are now trapped.



When the market breaks down and takes out the short-term low, it signifies an opportunity for an aggressive move away from that level. This initial move higher was a 'fake out'. The buy stops are often targeted. This could involve an order block, a fair value gap, or a liquidity void that wasn't fully closed initially, leading to a second leg up.

By examining charts, particularly intraday charts (though not the focus this month, they offer abundant examples), traders can gain experience with how this pattern occurs. This exact pattern materializes every single day and in every single pair. It requires studying across all timeframes to observe how it manifests.

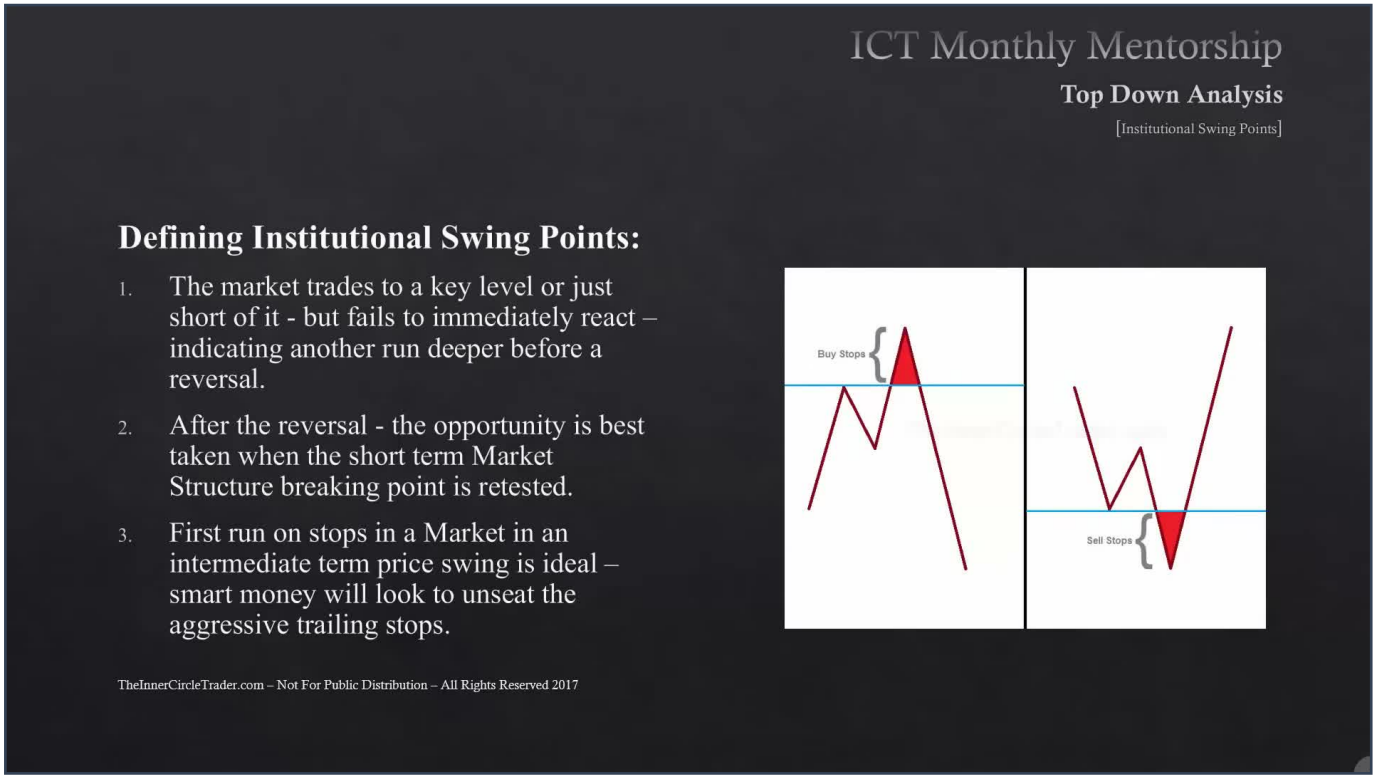


For a bullish bias (diagram on the right), sell stops are run out below a short-term low. Once price hits or falls short of a support level, the market often drives lower directly into that level. ICT favors this pattern because he can identify its formation:

- When price is falling short of a key level.

- Anticipating one more drive lower (or higher, in the bullish case).

It is crucial to have the key institutional reference points (taught in September mentorship: bearish/bullish order blocks, liquidity voids, fair value gaps) already delineated on the chart. Without these levels, traders will struggle to capitalize on the opportunities presented by these patterns.

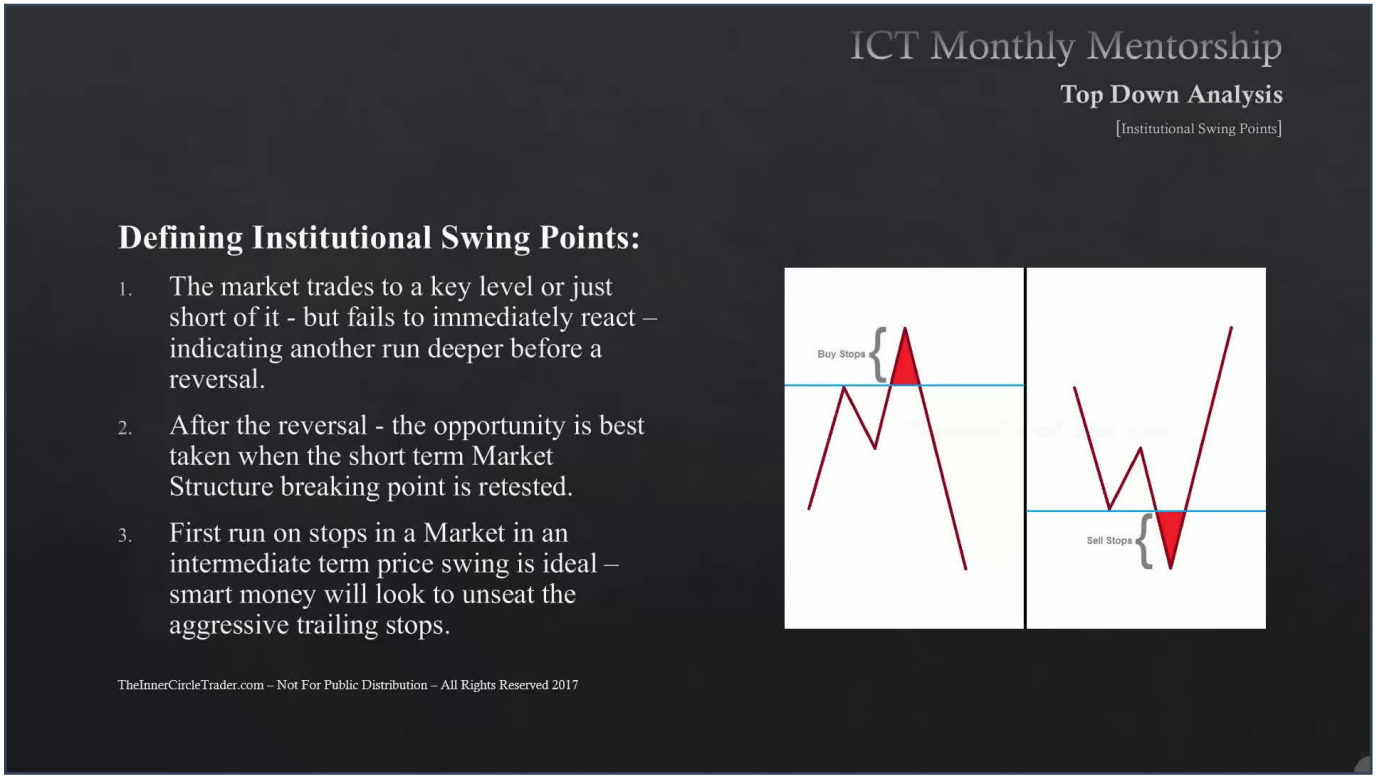


If sell stops are being run out, or a fair value gap/liquidity void below the market wasn't filled on the initial pass lower and then drives lower to close it in, these scenarios align with the Breaker pattern.

Conceptually understanding this isn't enough; traders must go into charts and find examples where:

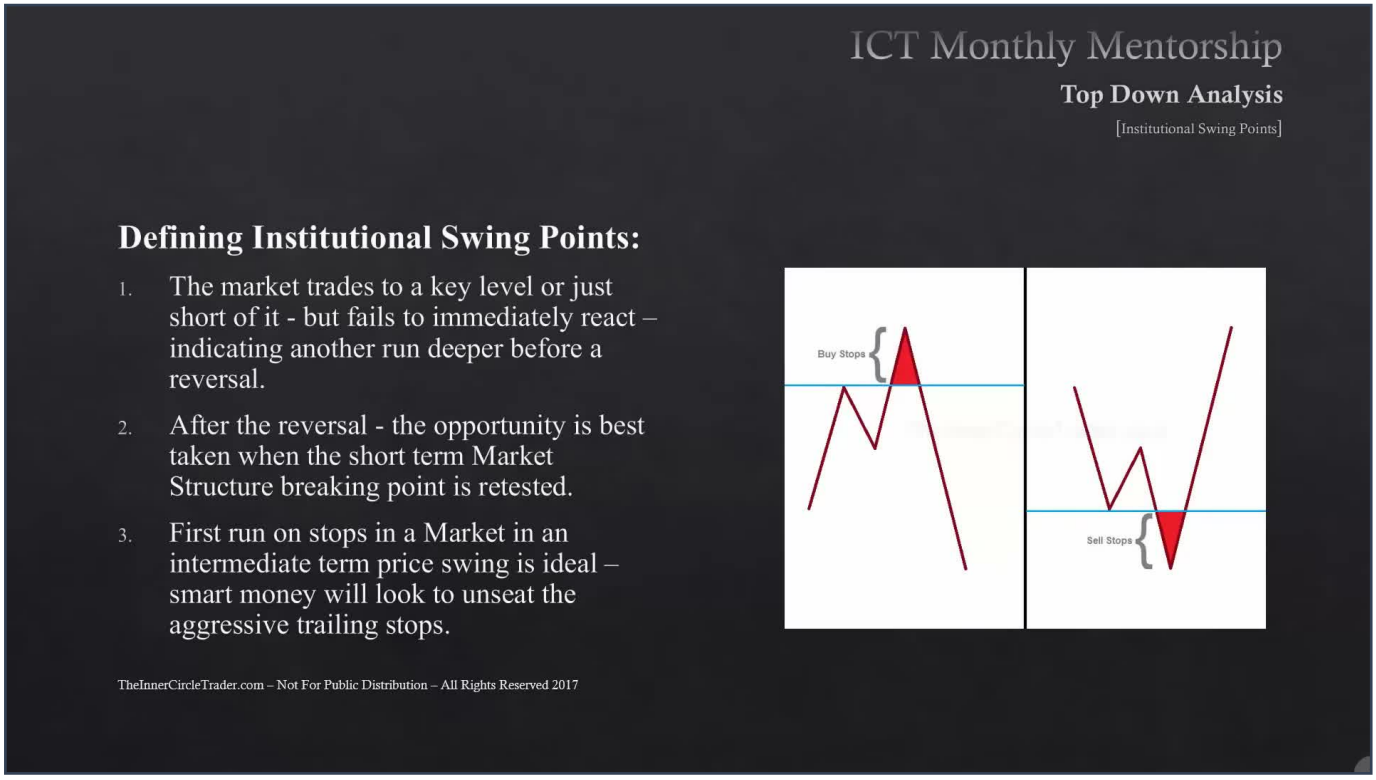
- A short-term high was passed through briefly, followed by a rejection or reversal high (bearish breaker).
- A short-term low was passed through briefly, followed by a rejection or reversal low (bullish breaker).

The same applies to the buy side of the Breaker pattern.



These Breaker swing points frequently offer exceptional entry points. The common fear is: 'How do you know it will reverse if you sell above the previous high?' This confidence comes from experience and trusting the institutional reference points taught previously (order blocks, breakers, mitigation blocks, liquidity voids, fair value gaps).

Having these concepts on the chart allows traders to anticipate these patterns unfolding before they actually do. Without these levels charted, these events will seem like surprises.



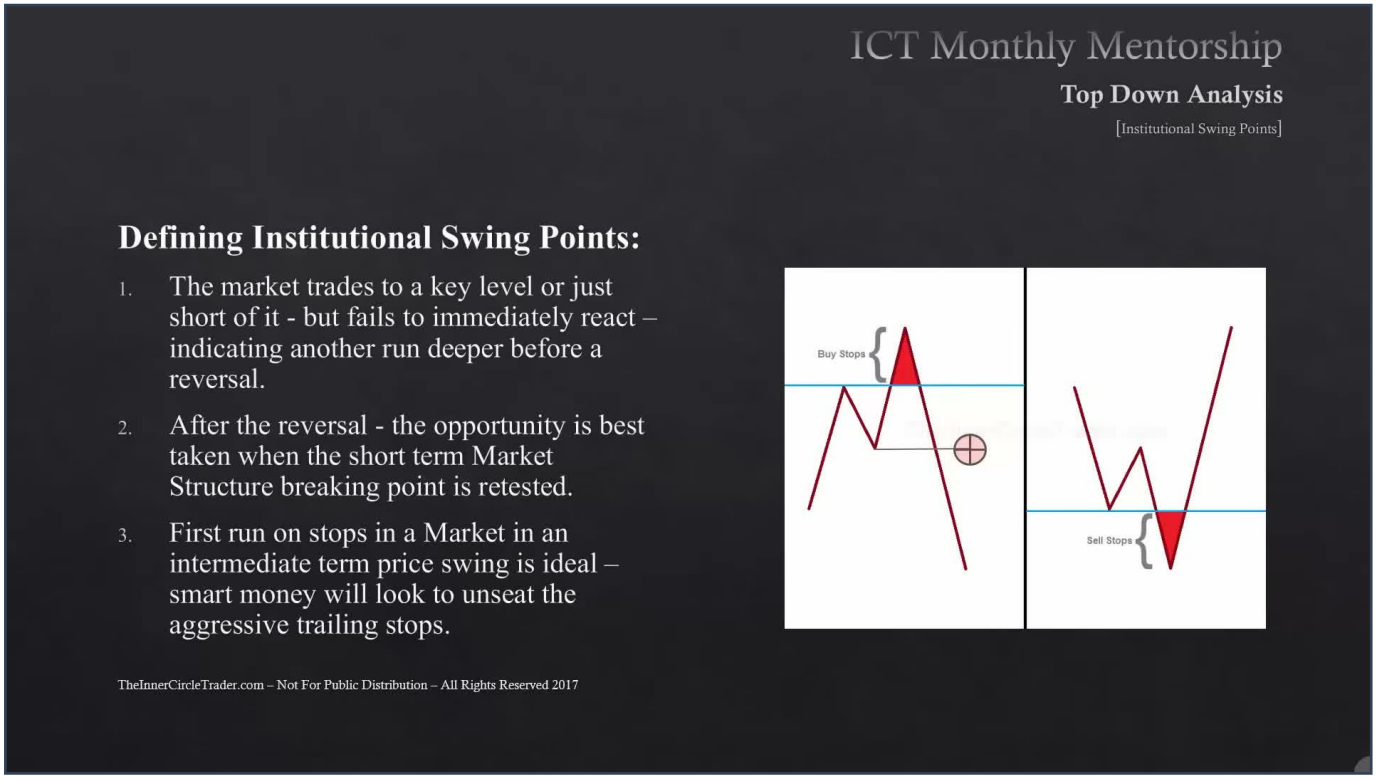
For those unable to readily see the pattern forming or lacking the confidence to sell above a previous high like an institutional trader, there's an alternative entry strategy:

For a bearish swing point (bearish Breaker, left side diagram):

- When the new high is broken, and it takes out the short-term low that formed between the previous high and the new higher high, this constitutes a market structure shift.

- This breaking point becomes the 'trigger'.

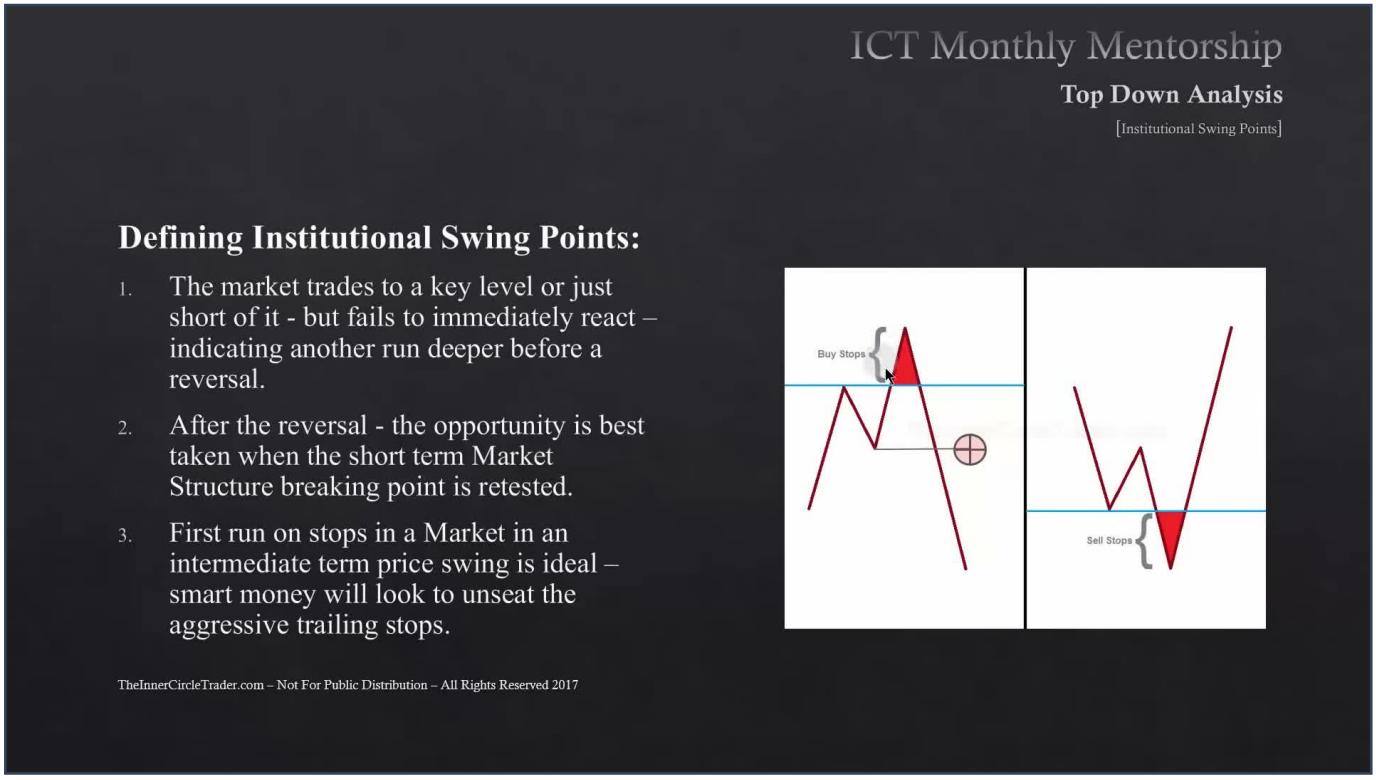
- If price subsequently rallies back up to that trigger level, a trader can be a seller there.



The advantageous aspect of this pattern is that a stop run has already occurred. If the market has already stopped out individuals at the higher high, there's little reason for it to return to that level, as those traders are already liquidated. Therefore:

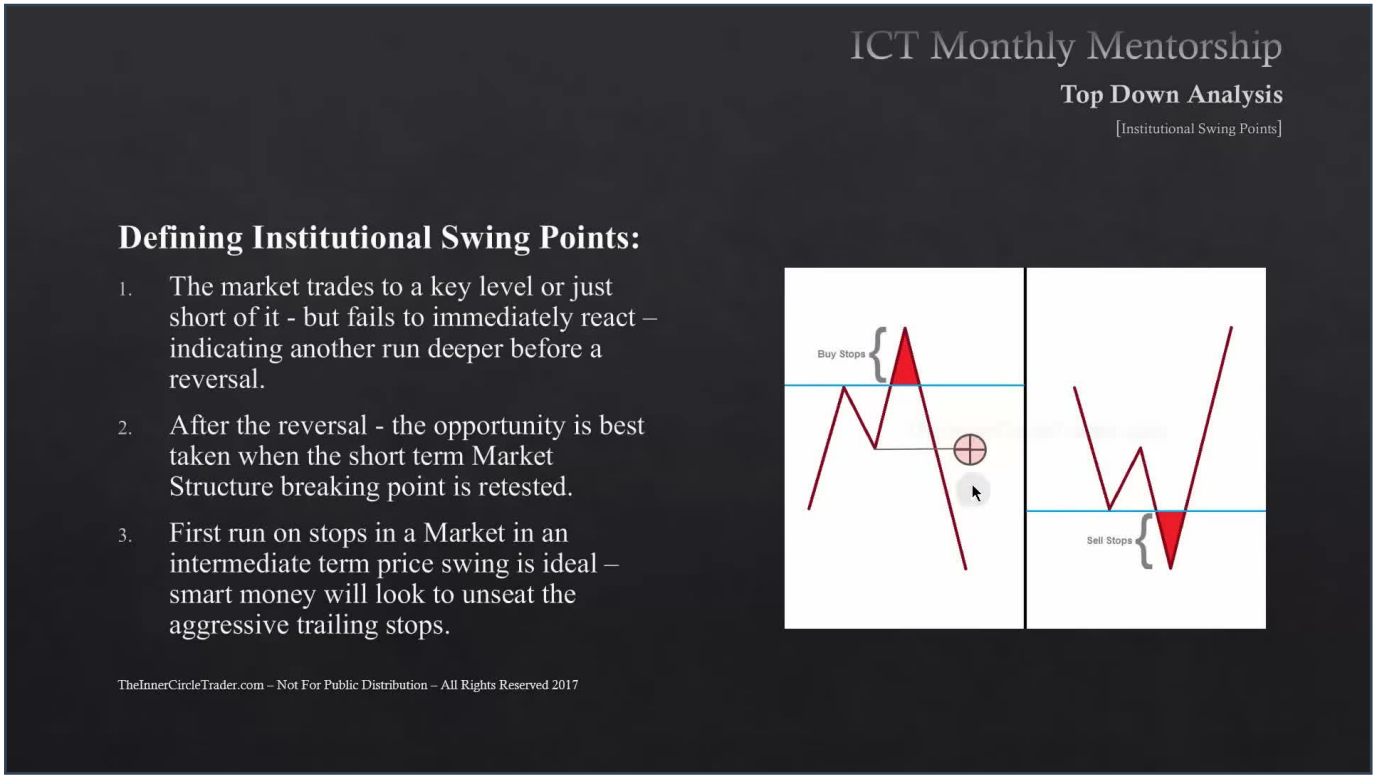
- A trader can confidently sell at the trigger point (the old short-term low now acting as resistance).
- The stop loss can be placed just above the highest high of the Breaker pattern.

After an aggressive breakdown following the Breaker, and with the identified resistance level confirmed by a prior stop run, the likelihood of price returning to breach that level again is low, making the stop loss placement highly effective.



The market's initial drop below the resistance level serves to lull retail traders into believing a breakdown is imminent, prompting them to go short. Their buy stops would be placed just above that initial short-term high. The subsequent pass through this high clears out that buy-side liquidity, allowing institutions to engineer new short positions.

When price returns to the breaking point (the short-term low that was broken), it offers a high-confidence selling opportunity. On a daily timeframe, it's highly probable that price will not revisit the highest point of the Breaker, as its job of stopping out initial short players has been completed. Institutions do not want to offer them a good price to re-enter their short positions.

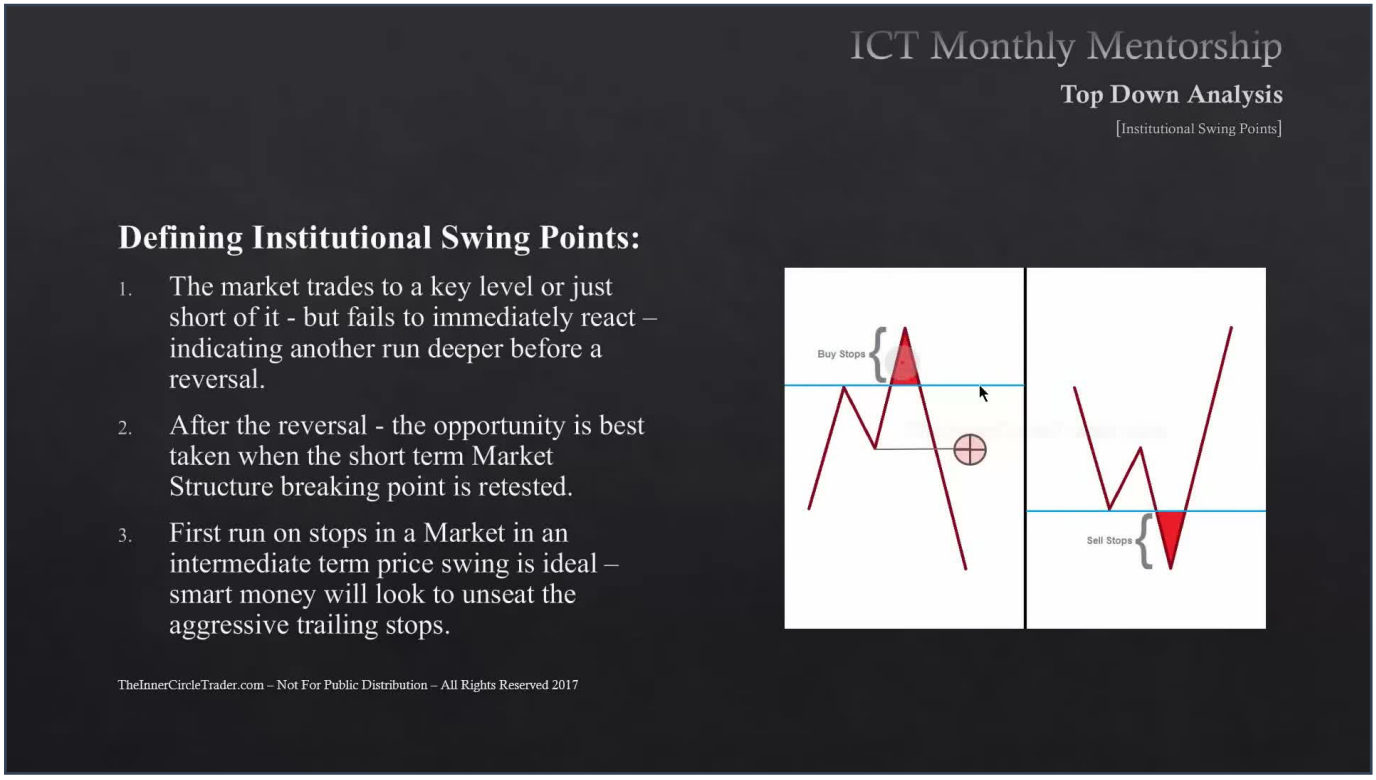


The same logic applies in reverse for a bullish scenario:

- Look for a short-term low forming at or just above a key support level.
- This could be a bullish order block, a liquidity void that wasn't filled, or an old low that price dips below.

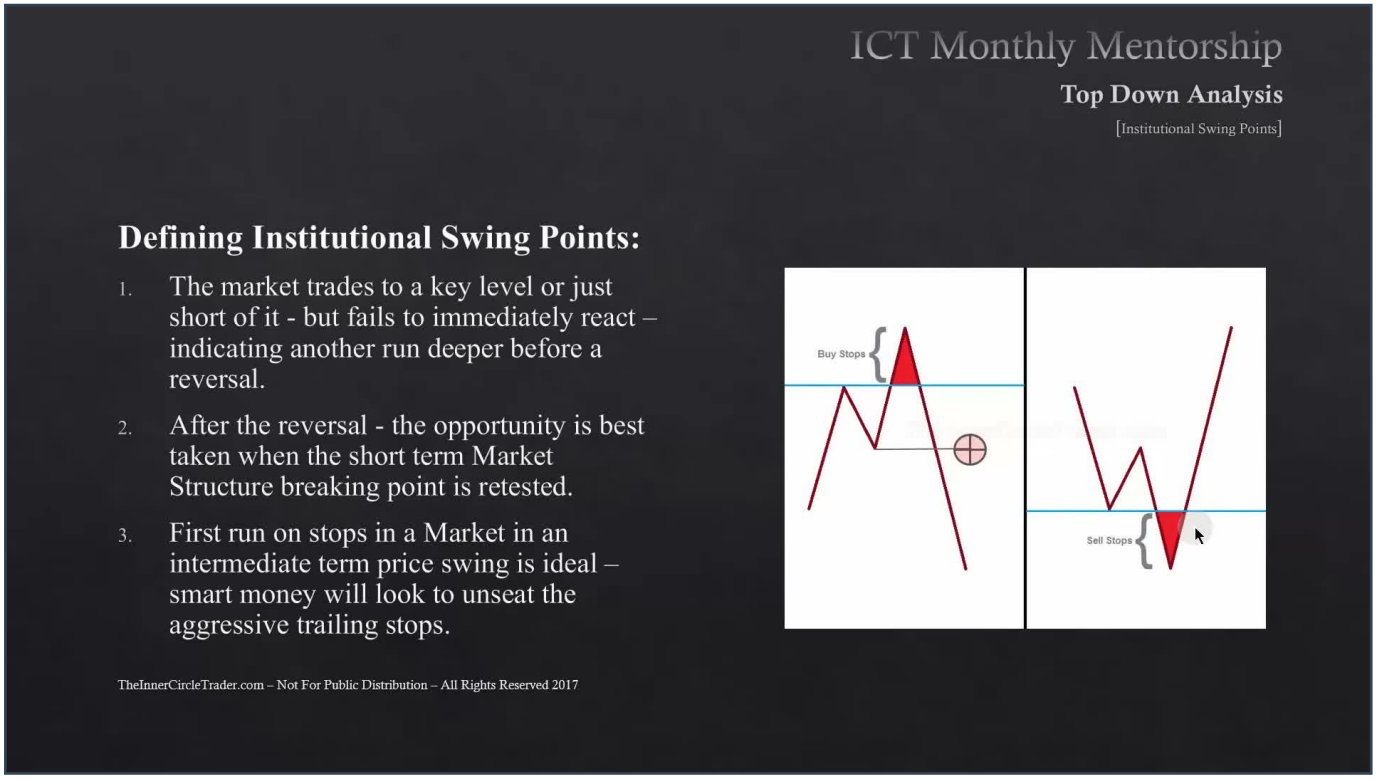
There is no time limit between the old low and the new lower low for this pattern. While it can occur over long periods (e.g., an old low from six months ago being run), ideally, it's a more recent phenomenon: price creating a low, retracing for a few days/a week, then driving one more time through it to hit a bullish institutional reference point (e.g., an old high or a lower low).

The key is to observe a low that seems illogical for price to stop at, followed by a small bounce, then anticipating a drive lower to the true support level identified on the chart.



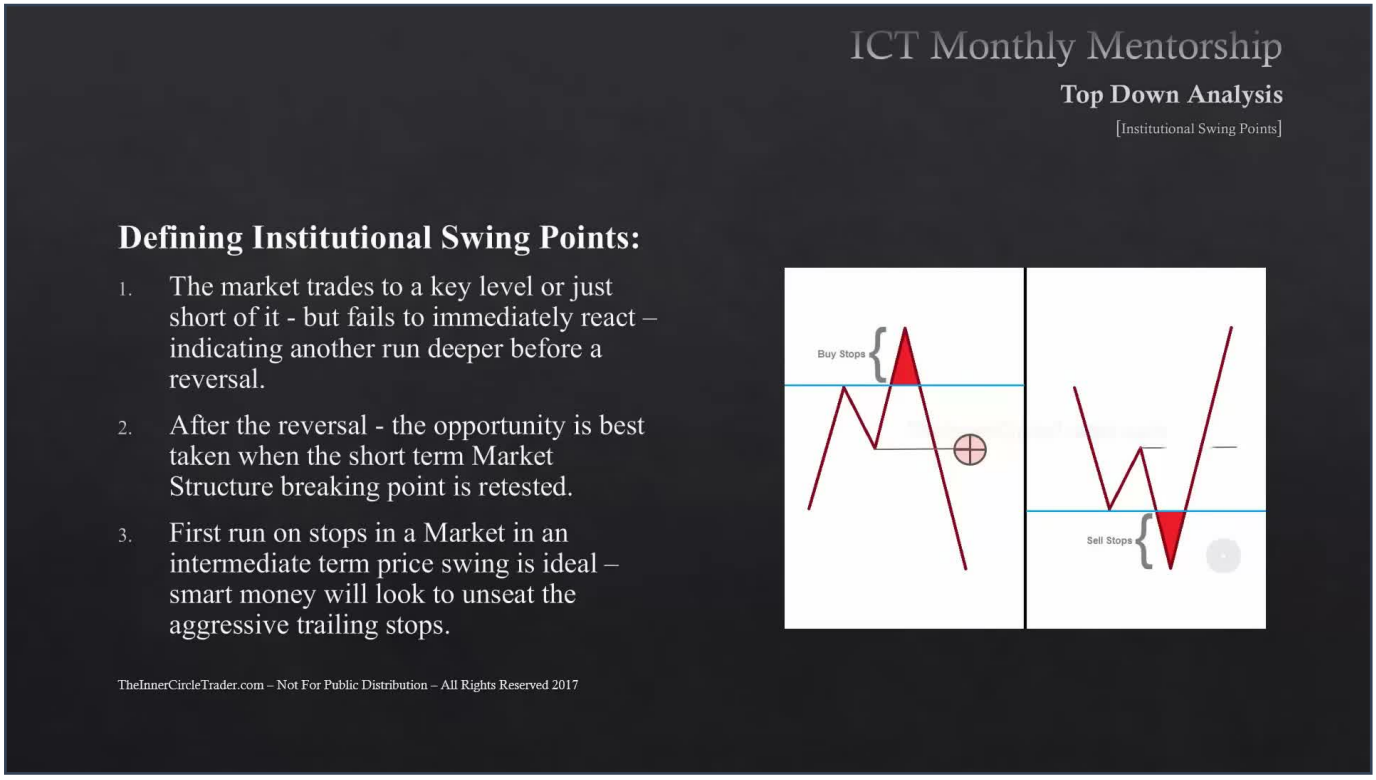
Any buyers on a small pop above the initial low would have their protective sell stops just below that low. Institutional thinking involves accumulating these sell stops. When these stops are hit, institutions act as buyers, acquiring assets at a deep discount, with an expectation of an immediate, aggressive response away from that level. Price should not linger below the low.

On daily timeframes, as position traders, confirming this immediate response might require waiting for the entire daily range to form, often resulting in the candle creating a long wick. This wick, often perceived as a 'hammer' or 'doji' by classical candlestick traders, is actually the market rejecting the low.



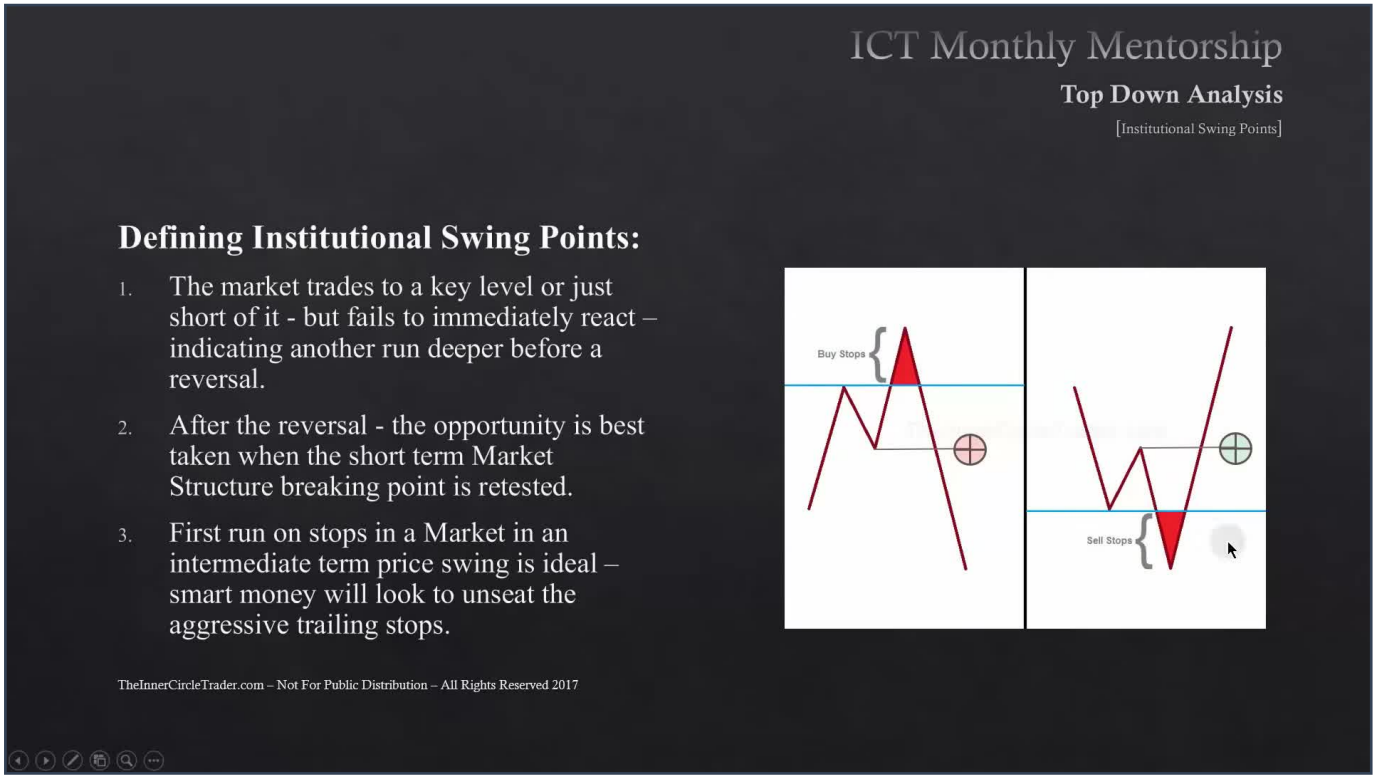
Classical candlestick traders react to the candlestick patterns after they have formed (e.g., a hammer or doji). Institutional traders, however, aim to enter when it's still a bold-faced candle before it becomes that wick or hammer. This requires significant confidence to buy below an old low, unlike retail traders who often seek confirmation before acting.

While demanding immediate confirmation might mean missing the absolute lowest entry, a favorable entry point can still be secured by waiting for a market structure shift. When the market structure shifts on the bullish side, attention turns to the breaking point (the short-term high that was broken). There is no concern about price returning to the lowest point of the stop run; the focus is on a return to this new trigger level.



For a bullish breaker, if the initial low is run, and the market structure shifts (breaking the short-term high), all eyes turn to the original breaking point (the short-term high that was violated). Price is not expected to return to the lowest point of the stop run again, as it has already served its purpose of clearing sell stops and immediately rejecting.

If the market does provide an opportunity to return to this breaking point, a trader can be a buyer there with confidence. However, depending on the aggressiveness of the buying away from the low, price might not return to this exact point, continuing to scream higher. This would represent a missed opportunity.

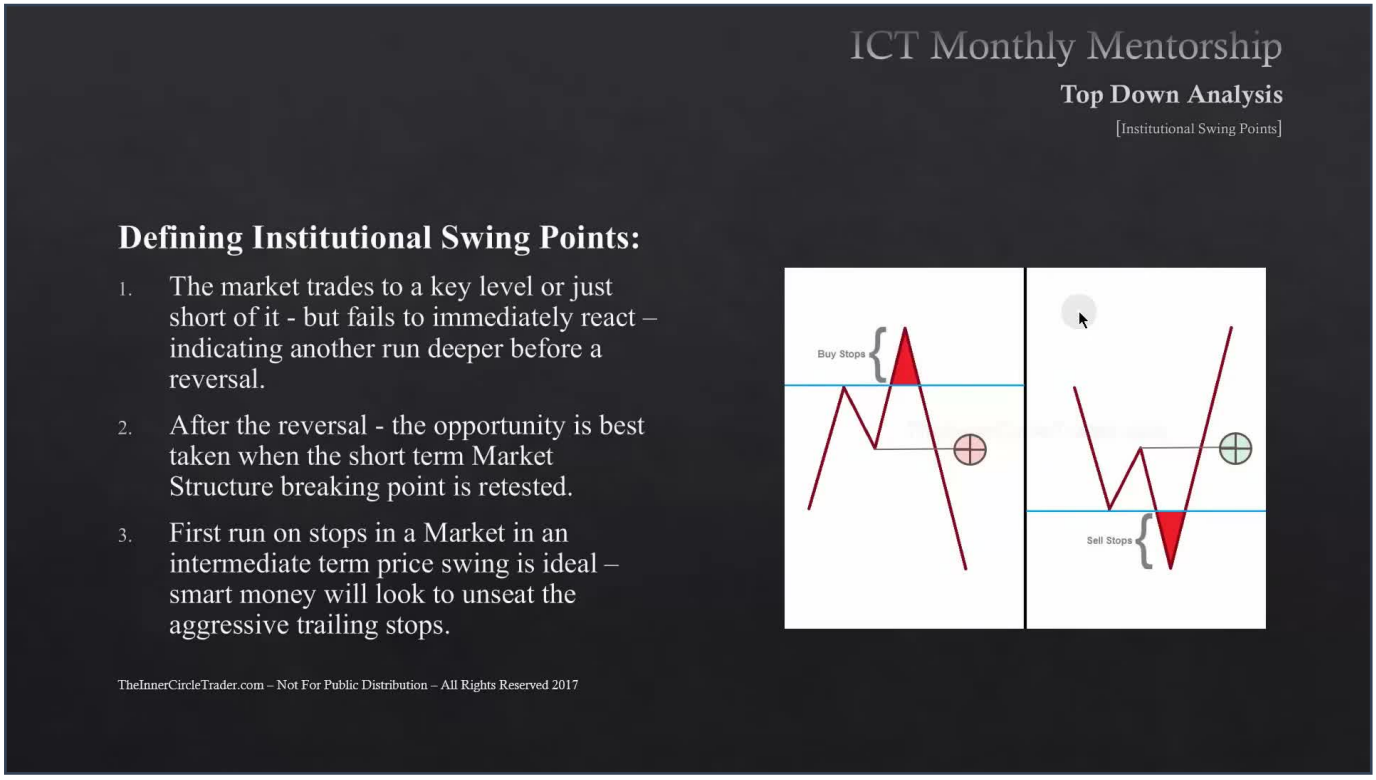


The marketplace can be viewed in two conceptual ways regarding swing points:

- Breaker Swing Point: The pattern described, where stops are run.

ICT predominantly trades the Breaker because it aligns with his 'Turtle Soup' pattern: a false break above an old high (or below an old low), followed by a rejection and quick move away. If the initial optimal entry is missed, he always looks for an opportunity to re-enter at the breaking point. This essentially offers a 'two-chance setup', a rarity in trading.

This pattern, in ICT's opinion, is the best in market structure for institutional evidence. Anticipating it allows for the highest probability entries, buying at the lowest possible point and selling at the highest. While it requires conviction, traders can wait for the pattern to confirm itself by breaking market structure, then entering on a return to that level. This flexibility is often absent in other patterns.

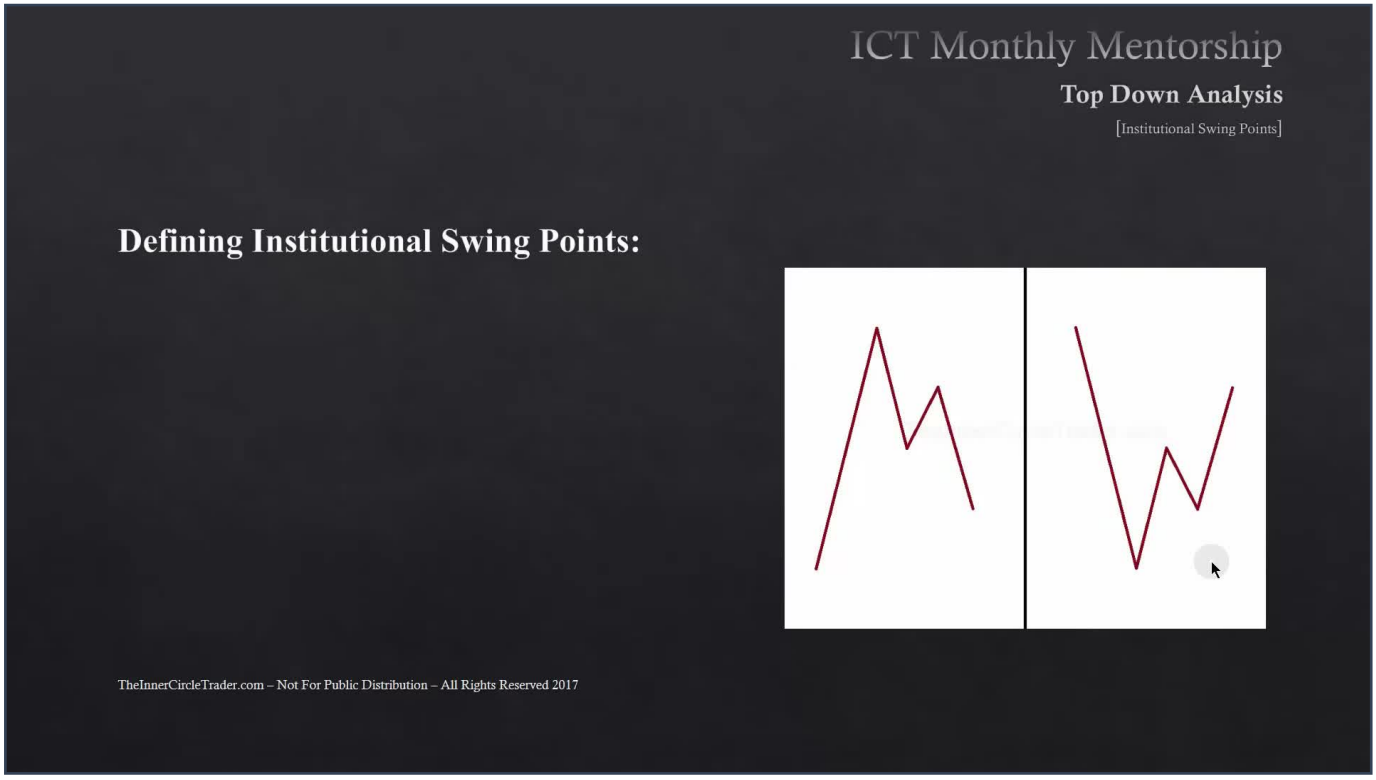


The second form of institutional swing points is the Failure Swing.

While the Breaker pattern is the ideal, most optimal trade entry, the Failure Swing is also a critical concept. ICT emphasizes narrowing the focus to only these two ways of viewing market turns, rather than broad, less specific terms.

The Failure Swing is identified when:

- A resistance level is present.
- Price trades through it (or just touches it).
- It then breaks down.
- Comes back to retest the level.
- Fails to make another pass through (i.e., fails to make a new higher high).



The critical aspect of a Failure Swing is the market's inability to revisit or surpass a previous high or low. When a Breaker setup (selling above a previous high) is anticipated but doesn't materialize, often the market will:

- Come up and fall short of the previous high.
- Then break lower.

This represents a missed opportunity for a premium short entry. However, it doesn't mean there is no trading opportunity. The same applies to the buy side:

- A support level is present.
- The market trades down into it, possibly through it, or the support level (blue line) is right at the low.
- The market retraces, and then comes back down but fails to make a new lower low.

While the aim is for Breaker swing points, if they don't occur, the Failure Swing offers an alternative trading opportunity.

FAILURE SWING - BULLISH SCENARIO

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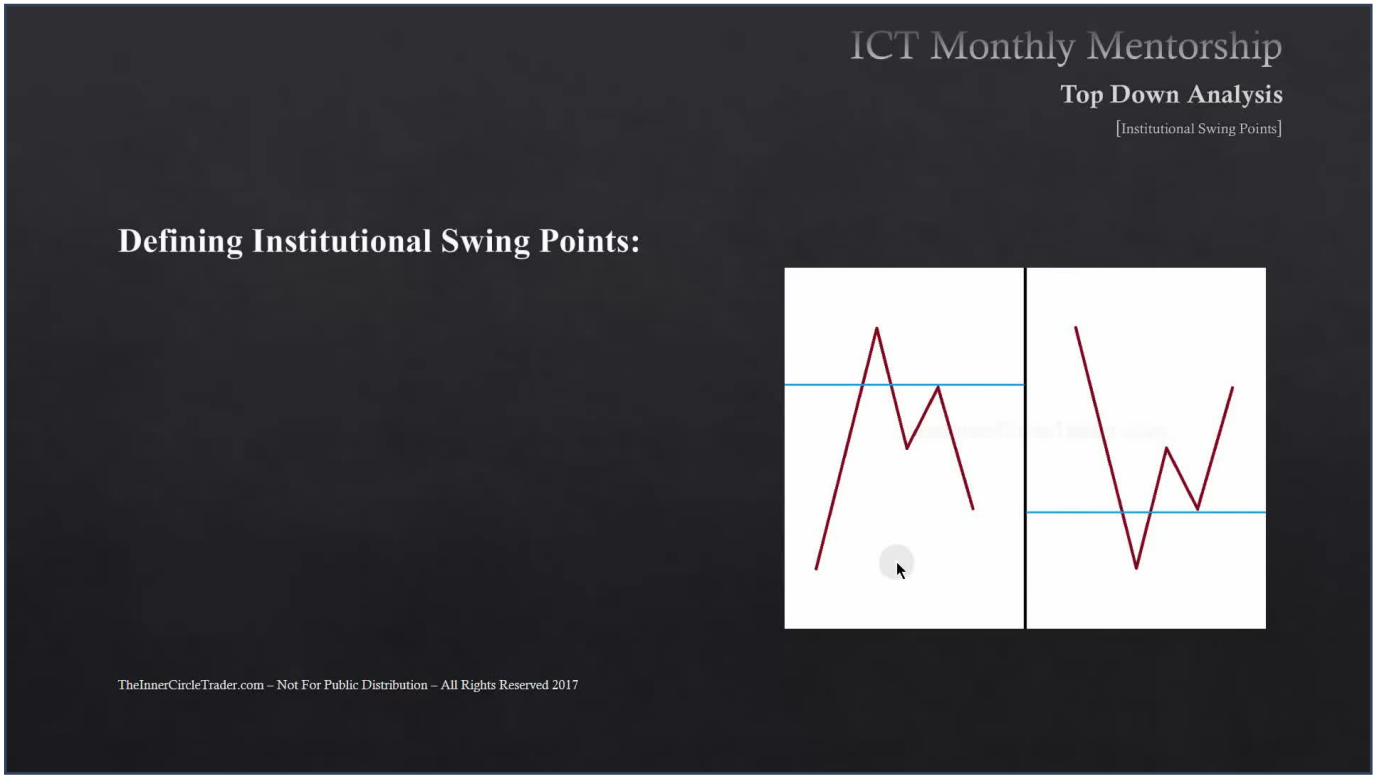
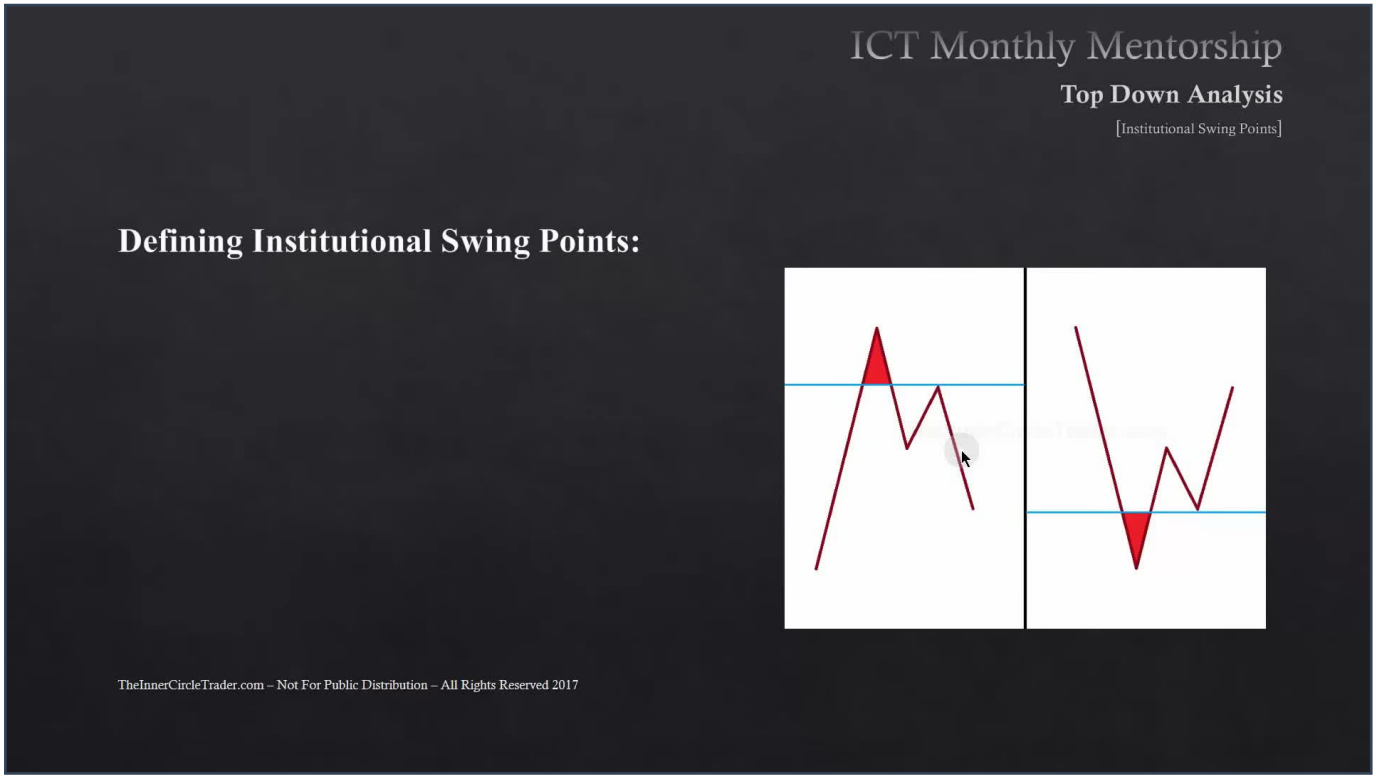


For a buy setup (Failure Swing):

- Price retraces off a support level.
- It then attempts to come back down but fails to make a new low.
- Subsequently, if it breaks through a short-term high, this creates another opportunity.

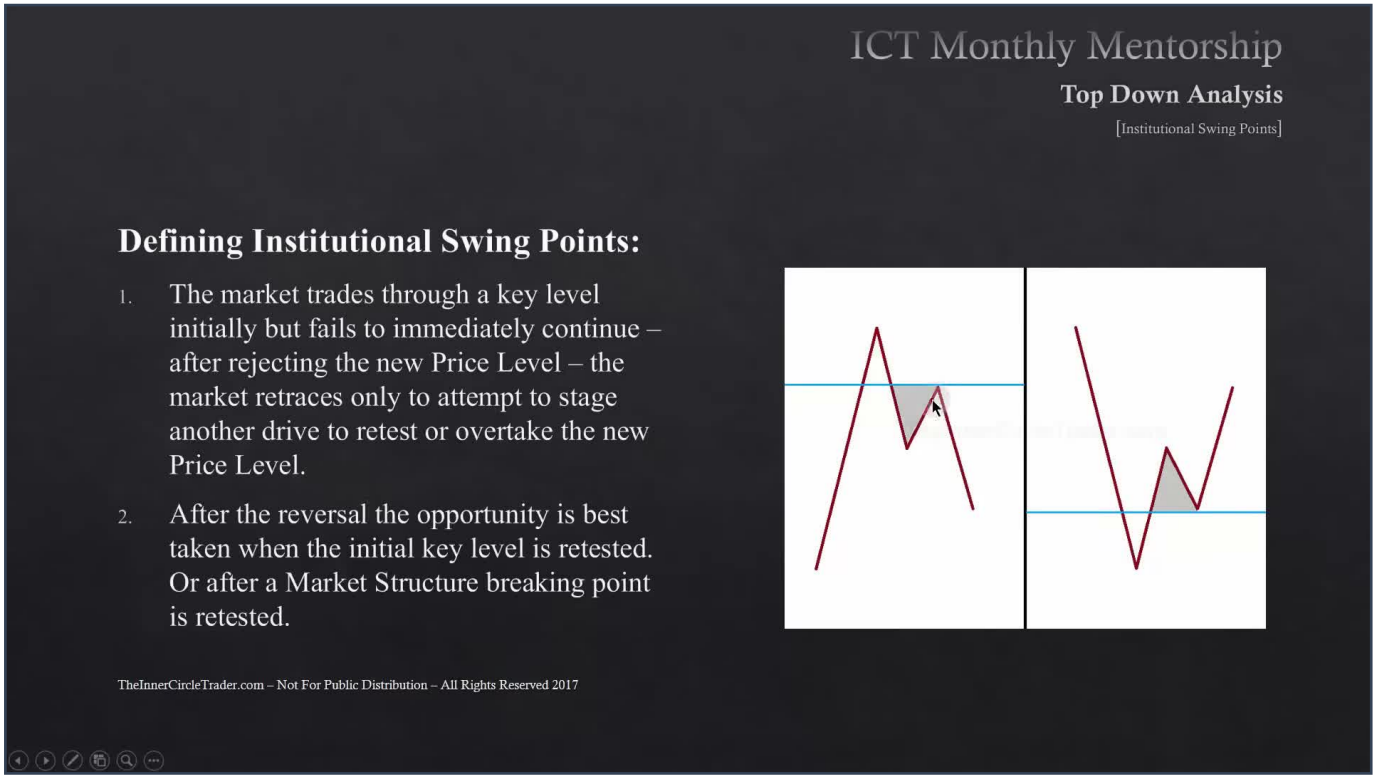
In both scenarios (bearish and bullish), the market has demonstrated a willingness to:

- Run an area of liquidity (e.g., above highs or below lows).
- Trap traders: sellers trapped below, buyers trapped above.
- Quickly reprice away, preventing trapped traders from exiting at a favorable price.



Thinking like an institutional trader: if a fund is 'on the hook' (e.g., long at a high price), repricing the market lower and leaving them holding the bag is strategic. Conversely, if traders sold on weakness (like 'turtle traders' selling on a breakout below 20-period lows), institutions will move away aggressively.

When price moves aggressively away from a low, fails to make a new low, and then breaks through a short-term high in an area anticipated to be bullish (based on institutional order flow), traders must wait patiently. This movement could be into a bullish order block, or a bearish order block for the sell side. It could also involve running buy stops above an old high or sell stops below an old low (even if not explicitly shown in the diagram).



The period of retracement in a Failure Swing is a 'gray area'; it's uncertain if price will stop there or continue to give a Breaker swing point. Similarly, for a bullish setup, it's unknown if price will continue lower to create a Breaker. ICT admits he never knows for certain; he anticipates the most optimal entry (the Breaker scenario), but if it doesn't materialize, he adapts.

If the Breaker setup is not given, and price starts to move in the anticipated direction of the Failure Swing, the focus shifts:

- For a buy: Look for the violation of the short-term high of the Failure Swing.
- For a sell: Look for the violation of the short-term low of the Failure Swing.

FAILURE SWING ENTRY AND STOP LOSS - BEARISH EXAMPLE

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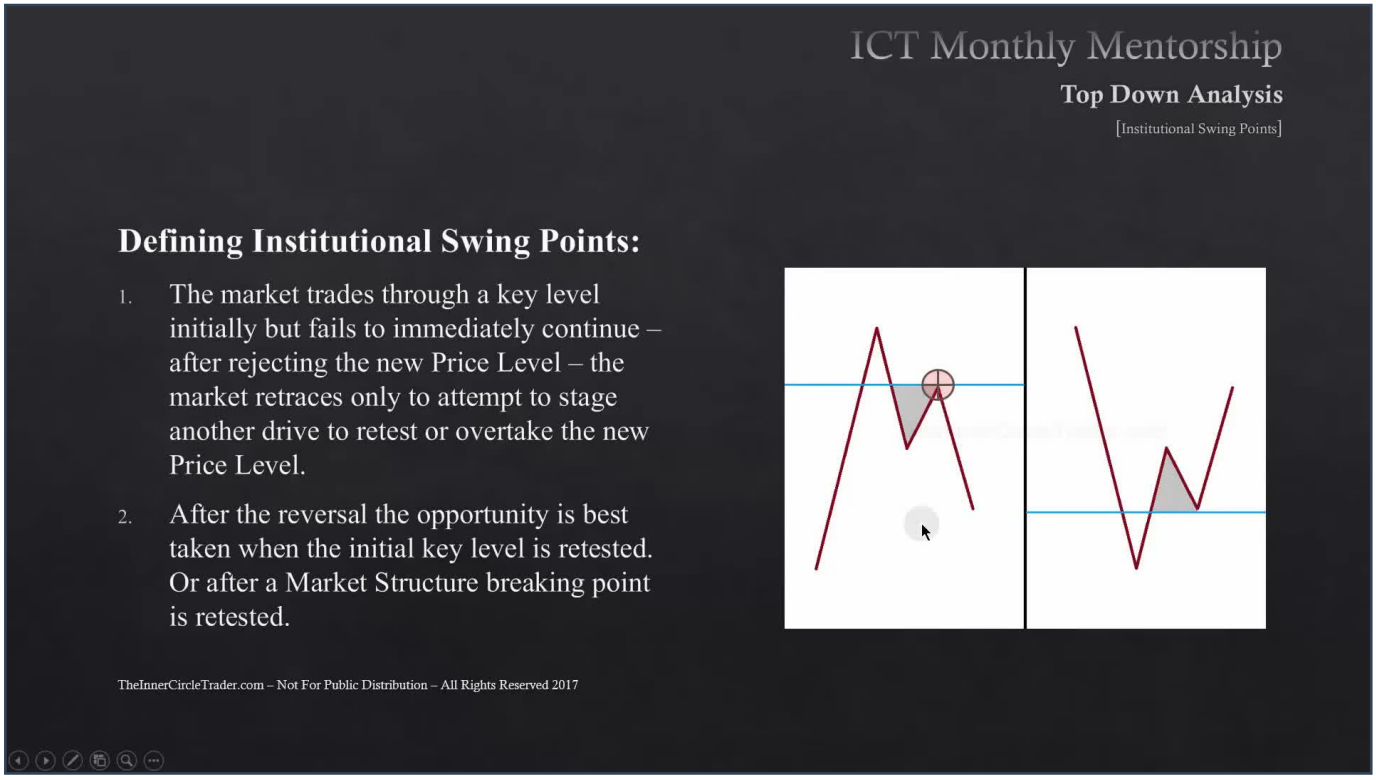
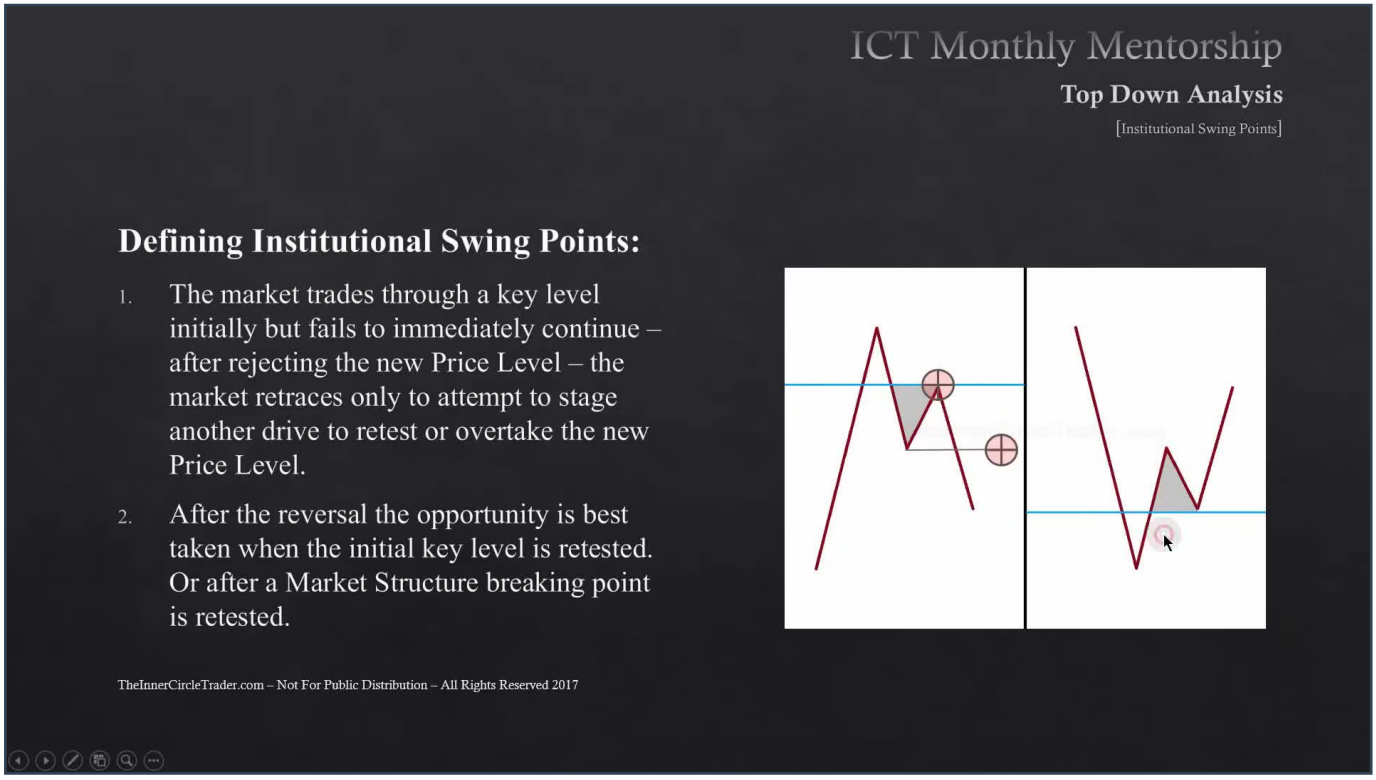


If a retracement to the original Breaker entry point isn't offered, or conviction for an optimal short entry is lacking, there's no problem. Wait for the swing point (the short-term low preceding the failed higher high attempt) to be violated.

- Entry: Sell on the return to this violated swing low (now acting as resistance).

- Stop Loss: Place a buy stop just above the short-term high that formed within the Failure Swing pattern. This stop loss will be within an area where buy stops had already been run out, meaning institutions are unlikely to re-target that level.



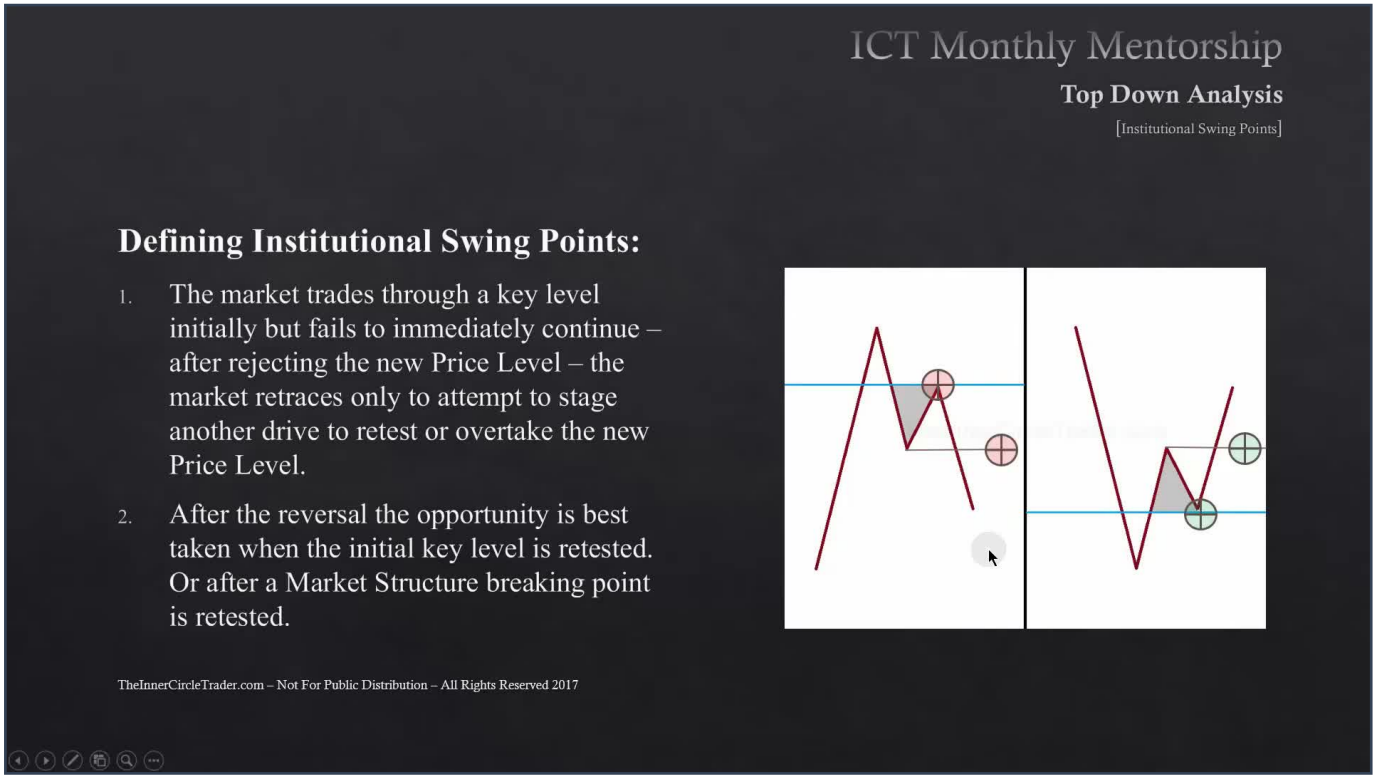
Similarly, for a long position:

- If the optimal buy entry (Breaker) is missed, or conviction is low, and price takes off, wait for the short-term high of the Failure Swing to be broken.

- Entry: Buy on price's return to this broken high (now acting as support).

- Stop Loss: Place a sell stop just below the short-term low that formed within the Failure Swing pattern. This stop loss will be in an area where sell stops have already been run out, so institutions are unlikely to re-target it, especially after a dynamic price response.

This fundamental ICT concept highlights that institutions aim to trap or liquidate traders. They drive price to take out stops, placing funds on the wrong side of the market. When these stops become market orders, institutions are taking the opposite side, aggressively repricing to gain profit.



ICT acknowledges that he, like any trader, can misread the market. He might anticipate a Breaker scenario (selling an old high on a 'Turtle Soup' setup), but if it doesn't materialize or if he misses the entry due to lack of conviction, he doesn't fret. If a breakdown occurs (indicating a Failure Swing), he waits for price to trade back up to that Failure Swing trigger level for a short entry. His stop loss would then be safely above the high of that Failure Swing, within an area where buy stops have already been cleared.

The same applies to the buy side: if a rejection from a low (Failure Swing) occurs, and the ideal Breaker buy is missed, he waits for price to break a short-term high, then buys on the return to that broken high. His stop loss would be below the low of that Failure Swing, in a zone where sell stops have already been run. This is based on the expectation that once stops are cleared and a dynamic price response occurs, institutions won't revisit those levels to give trapped traders an easy exit.

SUMMARY: TWO INSTITUTIONAL SWING POINT THEORIES

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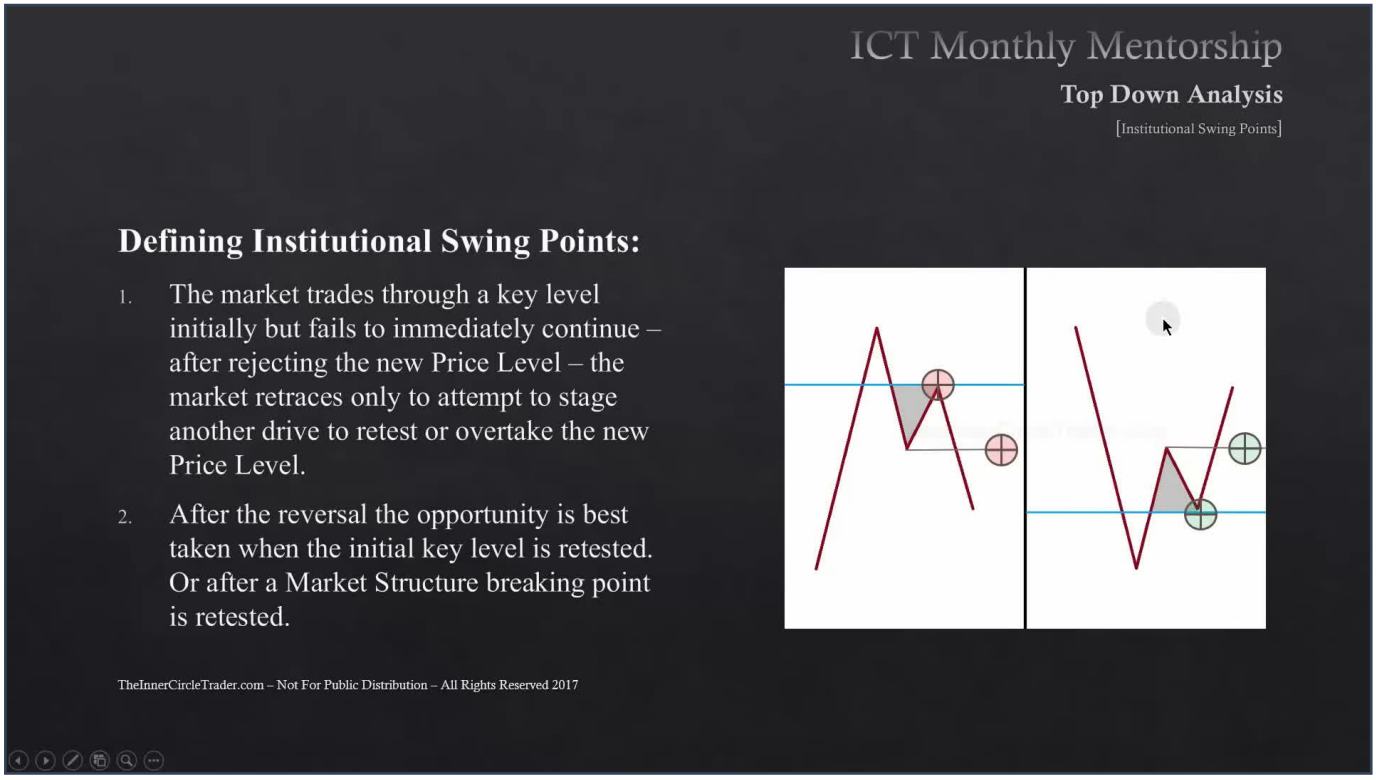
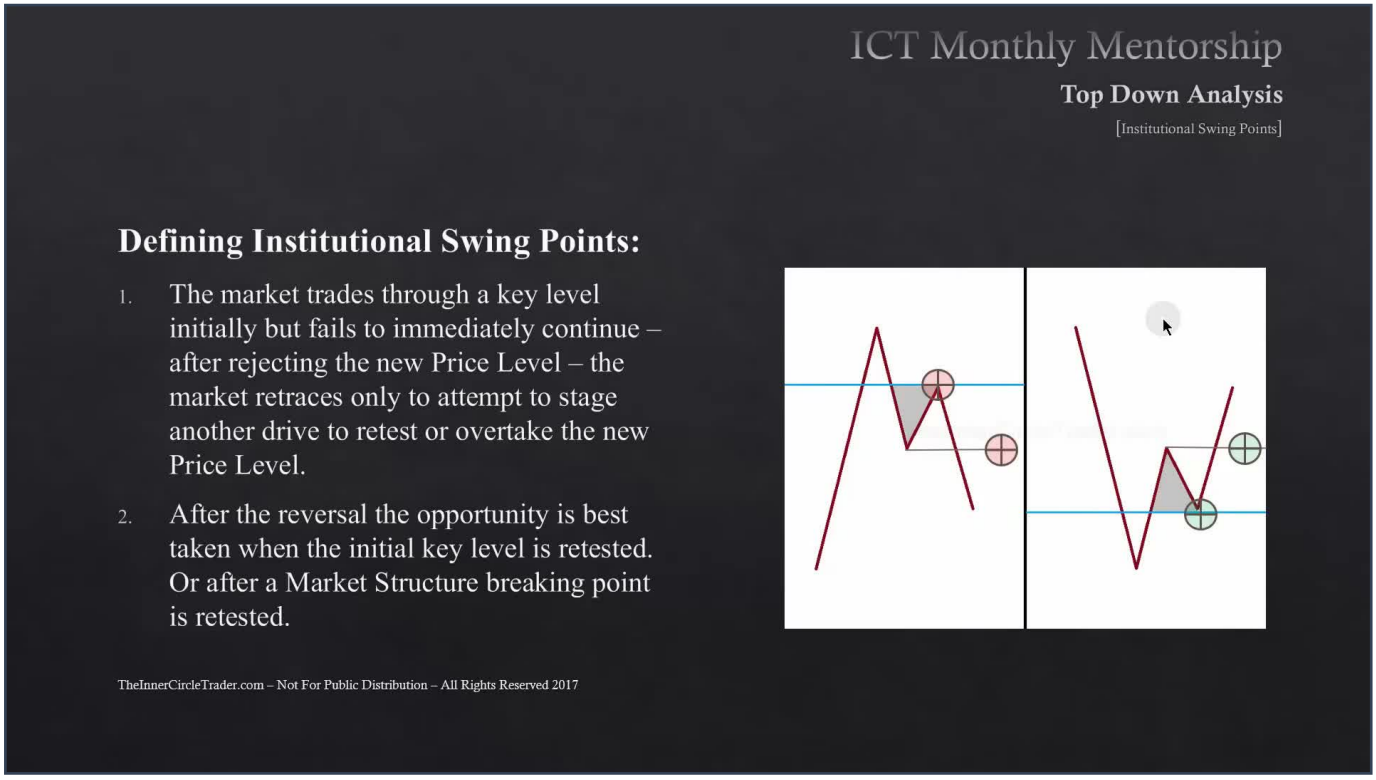


In summary, there are two primary institutional swing point theories:

- Breaker: The ideal, most optimal trade entry. It offers the deepest discount for buys and the most premium for sells. It's often uncomfortable and scary initially but provides immediate feedback when correct. When correct, the market moves dynamically and explosively in your favor.

- Failure Swing: If the Breaker opportunity is missed, the Failure Swing still provides an entry. This is also a manipulation pattern but requires a slightly different approach.

Both patterns indicate market manipulation, but they are traded distinctly. The Breaker is the primary focus and should be sought on all timeframes. However, if the Breaker doesn't occur, the Failure Swing offers a secondary opportunity.



Traders should avoid traditional chart patterns like head and shoulders, flags, or complex candlestick patterns (dark clouds, inverted hammers). Instead, focus solely on these two institutional swing point theories:

- For Sellers: Either selling an old high (Breaker) or selling on a retracement back to a broken market structure (Failure Swing).

- For Buyers: Either buying an old low (Breaker) or buying on a return/retracement back to a market structure break at support (Failure Swing).

There are no 50,000 patterns to learn; it's just these two conditions. The core understanding revolves around:

- Where are the orders relative to old institutional order flow reference points (key support/resistance on high timeframes)?

- How is the market behaving at that level?

- Did it pass through and reject (Breaker), or did it fall short and then break away (Failure Swing)?

Practicing these concepts in a demo account is crucial. Attempting to trade live without fully understanding the characteristics of these two swing point theories will lead to frustration, chasing price, or blowing accounts. Demo practice allows for safe exploration of entering trades at new highs/lows and observing market responsiveness, building confidence before risking live capital.